

CORPORATE CREDIT MEMO

Green Solutions Manufacturing Ltd

Analysis Date: 12 June 2026

Analyst Name: Caleb Mugambi

Analyst Title: Fintech & Credit Analysis

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Executive Summary

Metric	Value
Letter Grade	AAA
Total Score	100.0 / 100
Probability of Default	0.0%
Risk Band	Low

Recommendation: Approve

Rules-based scorecard assigns grade AAA (score 100.0/100). ML model estimates a 0.0% probability of default (Low risk).

Financial Analysis

Liquidity Ratios

Ratio	Value	Status	Threshold
Current Ratio	2.46	GREEN	Green ≥ 1.50 / Amber ≥ 1.00
Quick Ratio	2.04	GREEN	Green ≥ 1.00 / Amber ≥ 0.70
Cash Ratio	0.92	—	—

Leverage Ratios

Ratio	Value	Status	Threshold
Debt to Equity	0.42	GREEN	Green ≤ 1.00 / Amber ≤ 2.00
Debt to Assets	0.29	—	—
Equity Multiplier	1.42	—	—
Interest Coverage	8.64	GREEN	Green ≥ 3.00 / Amber ≥ 1.50

Profitability Ratios

Ratio	Value	Status	Threshold
Gross Margin	50.0%	—	—
EBITDA Margin	24.7%	GREEN	Green $\geq 15\%$ / Amber $\geq 5\%$
Net Margin	14.9%	GREEN	Green $\geq 10\%$ / Amber $\geq 3\%$
Return on Assets	18.2%	GREEN	Green $\geq 8\%$ / Amber $\geq 2\%$
Return on Equity	25.8%	—	—

Efficiency Ratios

Ratio	Value	Status	Threshold
Asset Turnover	1.22	GREEN	Green ≥ 1.00 / Amber ≥ 0.50
Days Sales Outstanding	55.7 days	—	—
Days Inventory Outstanding	42.3 days	—	—
Cash Conversion Cycle	98.0 days	—	—

Cash Flow Ratios

Ratio	Value	Status	Threshold
Free Cash Flow	145,000	—	—
FCF to Debt	63.0%	—	—

Solvency Ratios

Ratio	Value	Status	Threshold
Altman Z-Score	5.53	GREEN	Green $\geq$ 2.99 / Amber $\geq$ 1.81

Risk Assessment

Altman Z-Score Analysis

Z-Score Value	Zone
5.53	Safe Zone

Z-Score of 5.53 indicates the company is in the Safe Zone ($Z > 2.99$), suggesting low bankruptcy risk.

Key Risk Factors

No material risk factors identified from quantitative analysis.

Model Confidence

Confidence: High

Recommendation

Approve

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Title:	Fintech & Credit Analysis
Date:	12 June 2026
